Economics

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Construction Spending Ends 2025 with Signs of Stabilization

Residential Gain Offsets a Nonresidential Decline

Economic Indicator

Economist(s)


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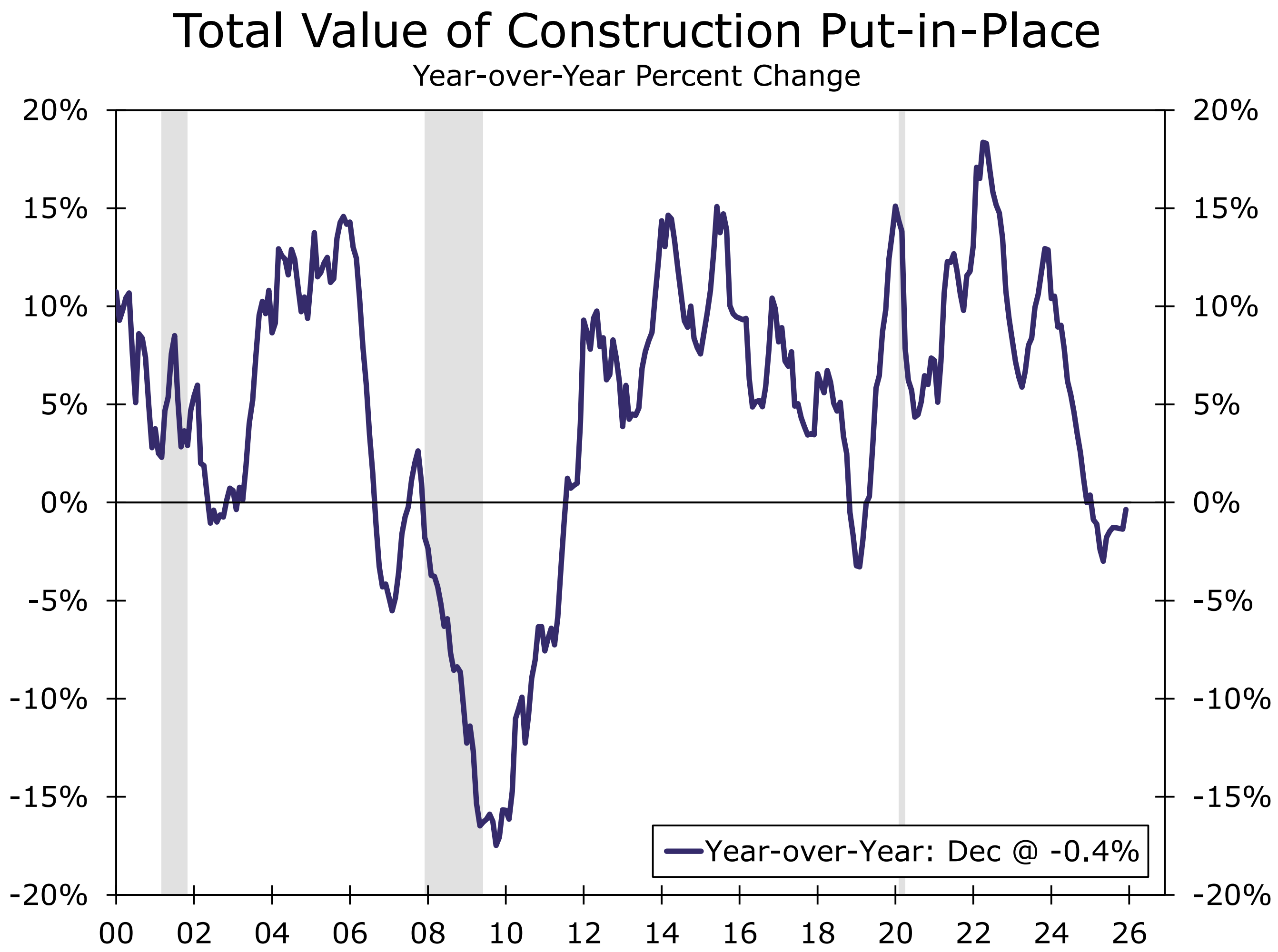
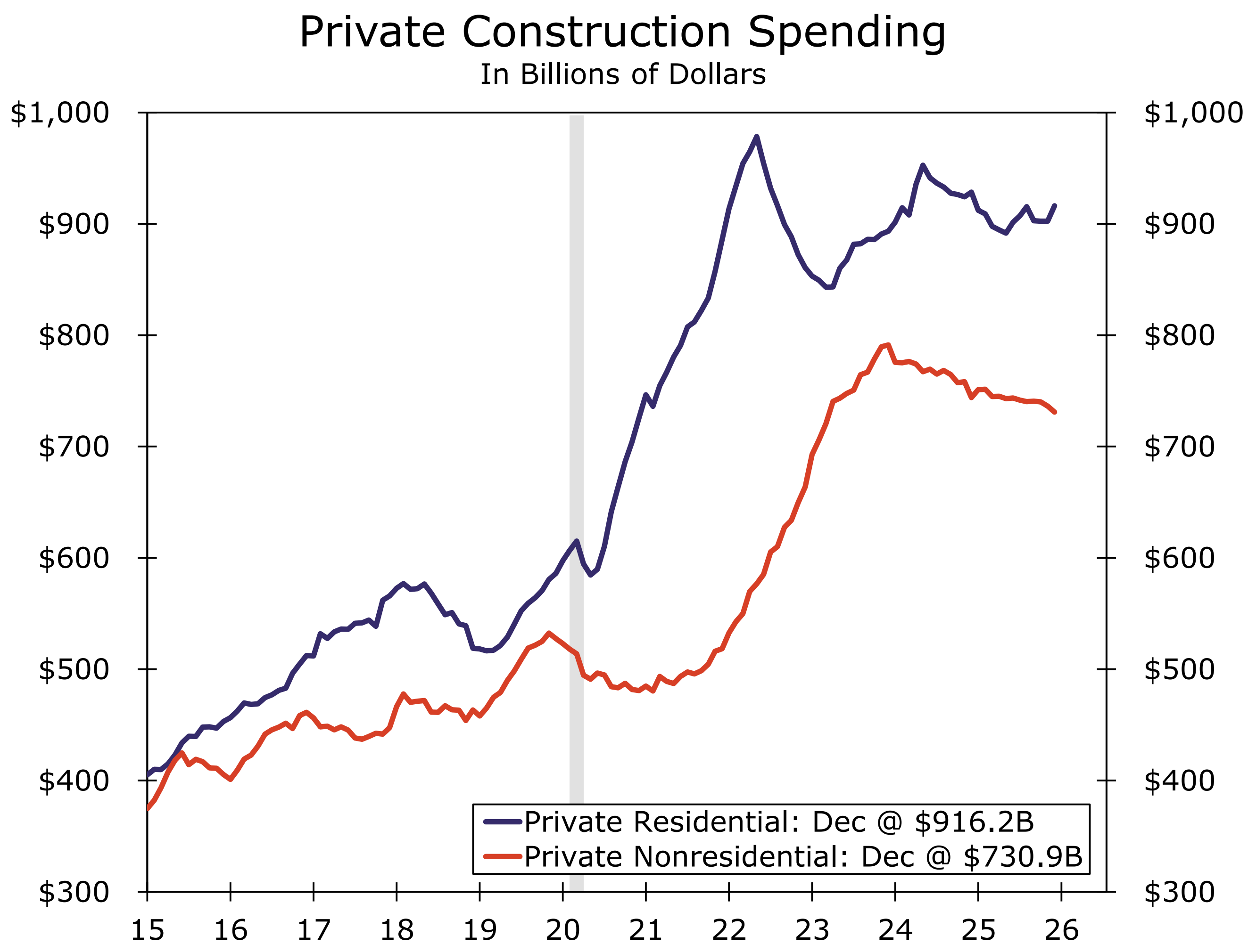
- Total construction spending fell 0.2% in November and then rose 0.3% during December. On balance, residential outlays picked up in the last two months of the year, while nonresidential declined. At year-end, overall spending was down just 0.4% on a year-ago basis, an improvement from the sharper annual declines registered for much of 2025.
- Residential's modest turnaround at the end of the year was broad-based. Single-family, multifamily and home improvement outlays each notched improvement, consistent with recent indicators (housing permits and building material retail sales) showing similar stabilization.
- Private nonresidential dropped over the course of November and December, though some segments outperformed. Select "mega-project" categories such as data center, power and communication each trended up. Meanwhile, lodging, commercial, healthcare and manufacturing were drags on overall spend.
- Public outlays also dipped as sectoral declines in transportation, educational, water supply and sewage & waste disposal project outlays offset growth in highway & street and power construction.
- All told, the small gain in total construction spending at the end of 2025 is a welcome sign that lower interest rates are slowly supporting a broadening of new activity beyond data centers and other mega-projects. That said, construction spending is reported in nominal terms, and so it is challenging to distinguish between gains in real activity and the effects of rising construction costs.
- To that end, the Producer Price Index (separately released this morning) revealed that building cost inflation continues to glide higher. The construction material index was up 6.6% on a year-to-year basis in January, the strongest annual print since 2022.
- Meanwhile, the Architecture Billings Index (ABI) fell back in January. The ABI leads nonresidential spending by 9-12 months and has been stuck in contraction territory (below 50) since 2024. This is consistent with our expectation for structures investment to remain a drag on overall real GDP growth this year as new activity remains constrained by a high-cost environment, soft real estate fundamentals and economic uncertainty.



Source: U.S. Department of Commerce and Wells Fargo Economics



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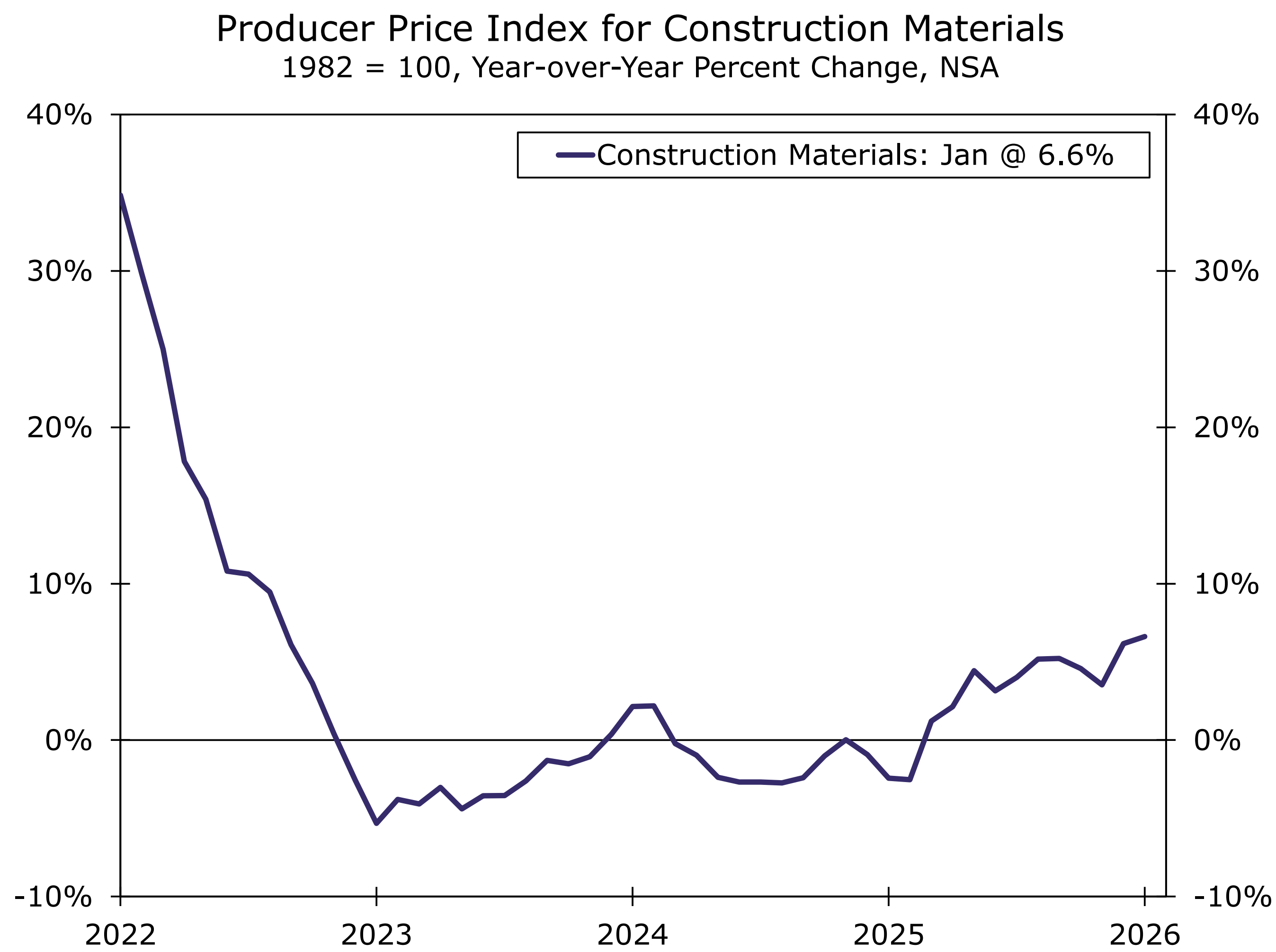
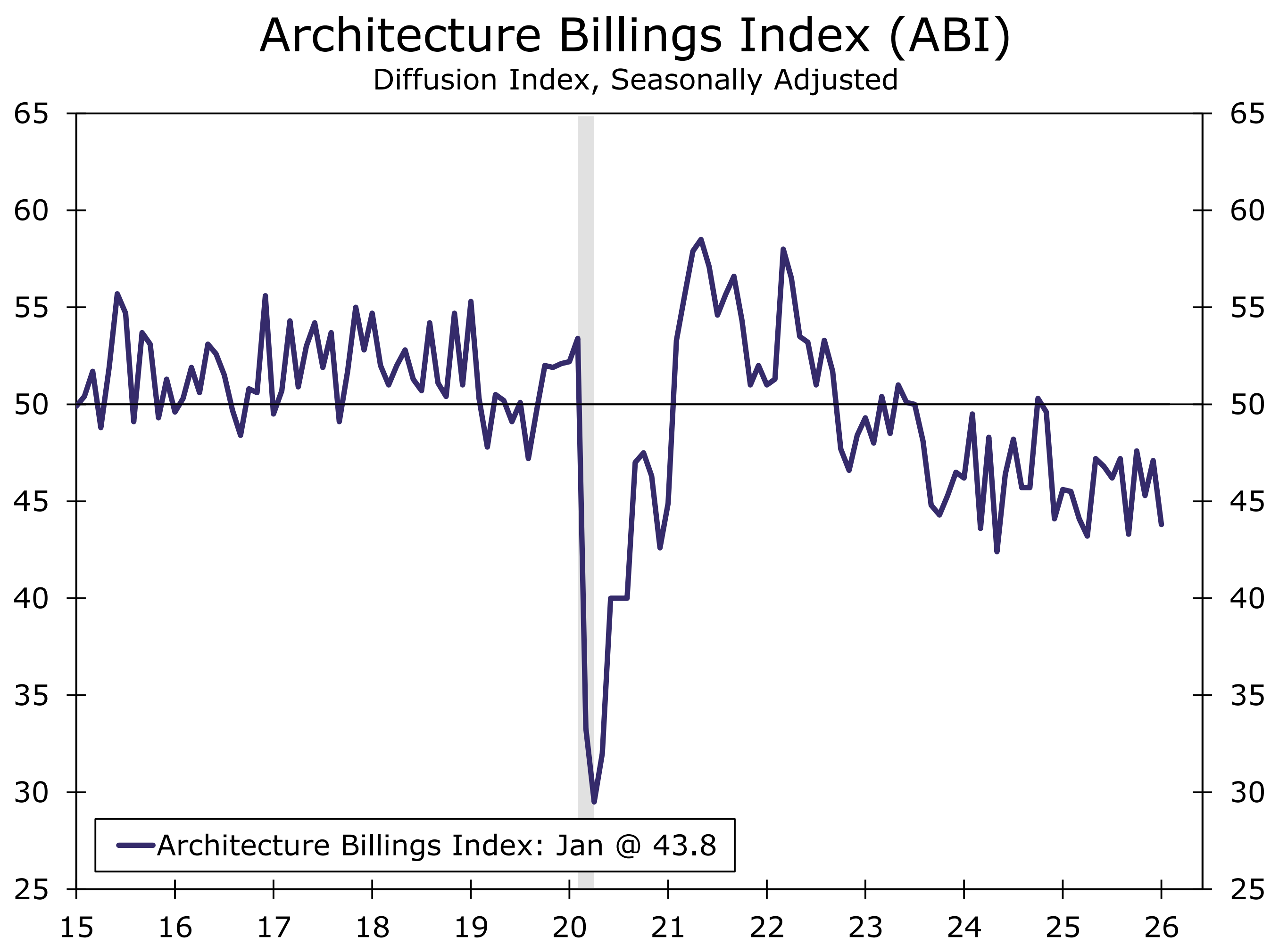


Source: U.S. Department of Labor and Wells Fargo Economics



Source: American Institute of Architects and Wells Fargo Economics

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All estimates/forecasts are as of 2/27/2026 unless otherwise stated. 2/27/2026 12:08:43 EST.

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